INVESTMENT COMMITTEE MEMO

Genting Malaysia Bhd

Bursa: GENM MK (4715) - Malaysia's only casino and New York City's only full casino, owned through a levered equity stub that the market has priced for its parent's problems

RECOMMENDATION: SPECULATIVE BUY

12-MO TARGET: RM1.85 (+46%)

Reference price RM1.27 (16-Oct-26)	52-wk range (close) RM1.23-2.37	Mkt cap RM7.2bn / US$1.76bn	Net debt (incl. leases) RM14.2bn (Jun-26)
Dividend FY25 7 sen (5.5%)	Largest holder Genting Bhd 73.84%	Lapsed parent offer RM2.35 (Dec-25)	Consensus target RM2.19 (12 analysts)

6.6x

TEV / NTM EBITDA: 11th percentile of its 10-year range (median 8.8x); listed peer median 7.5x; casino deals 9.2x

~US$0.7bn

What the market pays for the entire US business if Resorts World Genting is valued at 7x EBITDA. The NYC licence fee alone was US$500m (Jan-26)

RM1.94

Probability-weighted value (+53%): bull RM3.28 / base RM1.86 / bear RM0.76, plus ~4% dividend yield

RECOMMENDATION

Speculative Buy: a casino monopoly plus NYC's only casino, priced for its parent's balance sheet

6.6x
NTM EV/EBITDA (peers 7.5x, own 10-yr median 8.8x); 0.64x book, a record low

−46%
Discount to Genting Bhd's lapsed RM2.35 offer; independent adviser's SOTP was RM3.48-3.77

US$30.8m
Weekly RWNYC GGR in Jul-26 (~US$1.6bn annualised); US revenue +166% in 2Q26

RM1.85
12-mo target (+46%); bull +158% / bear −40%; probability-weighted RM1.94

25%
Bear-case probability (NY racing-support tax enforced, RWG de-rates, phase-2 value destruction)

Why now - four forces converging

- **Forced, non-fundamental selling:** −17% on 12-Oct on the *parent's* RM1.25bn rights issue; no GENM news. Premium to parent at a 2nd-percentile 0.6x
- **New York inflection:** live tables since 28-Apr-26; slot tax cut from ~68% to 56%; +1,400 slots in Jul-26. 3Q26 (~26-Nov) is the first full quarter
- **Minority veto:** parent is 1.16pp from 75% and does not intend to keep GENM listed, but cannot fund a fair cash offer; >10% objection blocks a delisting [u]
- **Self-help:** Miami land (US$1.225bn bid in 2023), NY real-estate sale-leaseback (GLPI/VICI precedents), ~RM848m a year of related-party fees to benchmark

What has to go right

- US & Bahamas adj. EBITDA ≥US$60m a quarter from 3Q26; RWNYC ramp holds in weekly NY data
- Racing-support dispute settles at ≤US$50m a year, or is offset by tax equalisation
- Malaysia EBITDA ≥RM2.1bn through the Jun-27 minimum-wage step-up
- No GENM equity raise; non-core sales fund part of the US$3.7bn left to spend
- Any privatisation is priced at or above the RM2.35 anchor

Position sizing: event-driven, low-to-medium conviction. Build a half position now (liquidity ~2-4m shares a day). Add on 3Q26 NY run-rate confirmation, completion of the parent's rights issue (1Q27) or an asset-monetisation announcement. Optional long GENM / short Genting Bhd pair (subject to borrow) isolates minority value from parent and Malaysian-policy beta. First review: 3Q26 results (~26-Nov) and the UK Budget (28-Oct).

GENM at a glance - a Malaysian monopoly with a New York growth engine bolted on

What it does

- **Resorts World Genting:** Malaysia's only licensed casino (since 1969; licence renewed quarterly); ~10,500 rooms, SkyWorlds theme park, mall, cable cars; 28.6m visitors, 98% occupancy
- **Resorts World New York City:** converted from a VLT racino to a full commercial casino on 28-Apr-26; 242 tables, ~3,900 slots; US$5.5bn masterplan to ~2029-30
- **Also:** ~32 UK casinos, Crockfords Cairo, RW Catskills and Hudson Valley (Empire, loss-making), RW Bimini, Hilton Miami and 30 acres of Miami waterfront land
- **FY25:** revenue RM11.9bn; adj. EBITDA RM3.3bn (RM2.9bn ex-FX); NI RM755m; ~73% of revenue is gaming
- **Control:** Genting Bhd 73.84% (Lim family via Kien Huat); free float ~26%; EPF/KWAP/PNB have exited the register

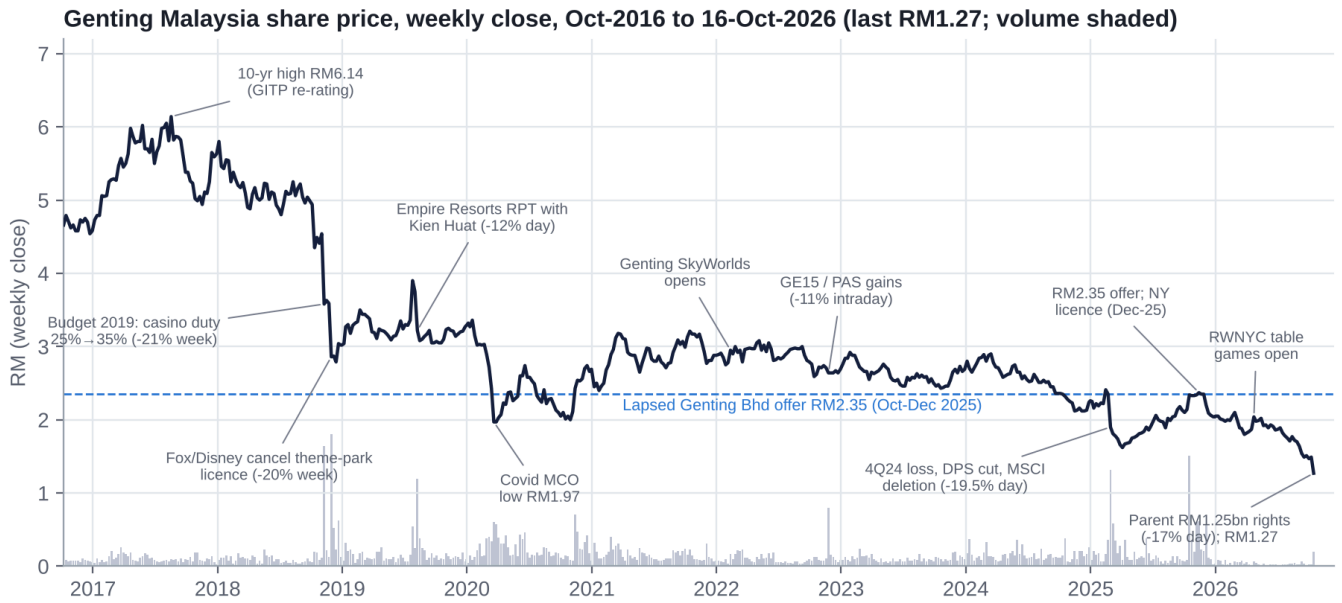
Revenue and adj. EBITDA by division (RM m)

Division	FY24	FY25	1H26	Trend
Malaysia revenue	6,823	7,134	3,434	+5% FY25; flat 1H26
- adj. EBITDA	2,092	2,139	1,127	30-33% margin
UK & Egypt revenue	1,896	1,994	967	Middle East hit, MGD risk
- adj. EBITDA	298	322	120	12-16% margin
US & Bahamas revenue	1,980	2,566	2,228	**+107% 1H26**
- adj. EBITDA	530	472	297	+83% in 2Q26
Group revenue	**10,912**	**11,884**	**6,720**	**FY26E 13.7bn (ours)**
Group adj. EBITDA ex-FX	**2,795**	**2,946**	**1,492**	**FY26E 3.1bn (ours)**

Company basis; adj. EBITDA includes unrealised FX on USD debt, shown ex-FX at group level. Source: GENM AR2025, quarterly reports, S&P Capital IQ.

The single most distinctive fact: in January GENM paid US$500m for New York City's first full casino licence. Within 11 weeks of opening tables it was running ~US$1.6bn of annualised gaming revenue. Yet at RM1.27, after valuing the Malaysian monopoly at 7x EBITDA, the market pays ~US$0.7bn for the entire US business, barely more than the licence fee.

Tax hike (2018), Empire (2019), dividend cut (2025), lapsed offer and parent cash call (2026): −73% in ten years



Key catalysts

NOV 2018	Budget 2019 casino duty 25%→35% (−21% wk); Fox/Disney cancel theme park (−20% wk)
AUG 2019	Empire Resorts related-party deal with Kien Huat (−12% day)
28-FEB-2025	4Q24 loss, final DPS 9→4 sen, MSCI deletion (−19.5% day)
13-OCT-2025	Genting Bhd RM2.35 offer; lapsed at 73.13% on 1-Dec
15-DEC-2025	NY downstate licence awarded; US$500m fee paid Jan-26
28-APR-2026	RWNYC opens NYC's first live table games (+16% rally)
AUG-SEP 2026	2Q26 NP −89%, no interim; Fitch cut to BBB-
12-OCT-2026	Parent RM1.25bn rights issue: GENM −17.4% to RM1.23

Only two single-day moves above 10% in five years, both corporate or parent events (28-Feb-25 −19.5%; 12-Oct-26 −17.4%). Five-year price change −60% vs FBM KLCI +1.5%. Source: S&P Capital IQ.

Cheap on EBITDA, sales and book; expensive on earnings - leverage sits between the two

Metric	GENM	Genting Sing.	Genting Bhd	Sands China	Galaxy	MGM China	Caesars	Boyd	Rank	Median (31)
TEV/Sales	1.56x	1.81x	1.78x	2.23x	2.71x	1.45x	2.66x	1.96x	0.61x	1.86x
TEV/EBITDA (LTM)	8.1x	5.6x	6.4x	8.5x	10.1x	6.2x	8.4x	6.0x	4.0x	7.9x
TEV/EBITDA (NTM)	6.6x	5.1x	6.1x	7.8x	9.2x	5.2x	8.3x	6.6x	3.9x	7.5x
TEV/EBIT	18.2x	11.7x	12.4x	13.7x	14.1x	8.5x	15.1x	9.7x	6.6x	12.8x
P/E (NTM)	14.9x	17.0x	8.8x	11.3x	13.2x	8.3x	n/a	9.7x	8.4x	10.1x
EBITDA margin	19.2%	32.4%	28.0%	26.3%	26.9%	23.5%	31.6%	32.6%	15.2%	24.7%
EBIT margin	8.6%	15.4%	14.3%	16.3%	19.2%	17.1%	17.6%	20.3%	9.3%	13.0%
Net debt/EBITDA	5.6x	-3.7x	3.6x	2.7x	-0.8x	1.7x	6.8x	2.2x	1.3x	4.3x
Dividend yield	5.5%	6.6%	3.5%	6.5%	4.5%	6.8%	0.0%	1.1%	3.9%	0.8%

LTM to 30-Jun-2026; prices 16-Oct-2026; CIQ TEV includes leases. Median of 31 listed casino peers (ex-GENM, Kangwon Land). Source: S&P Capital IQ.

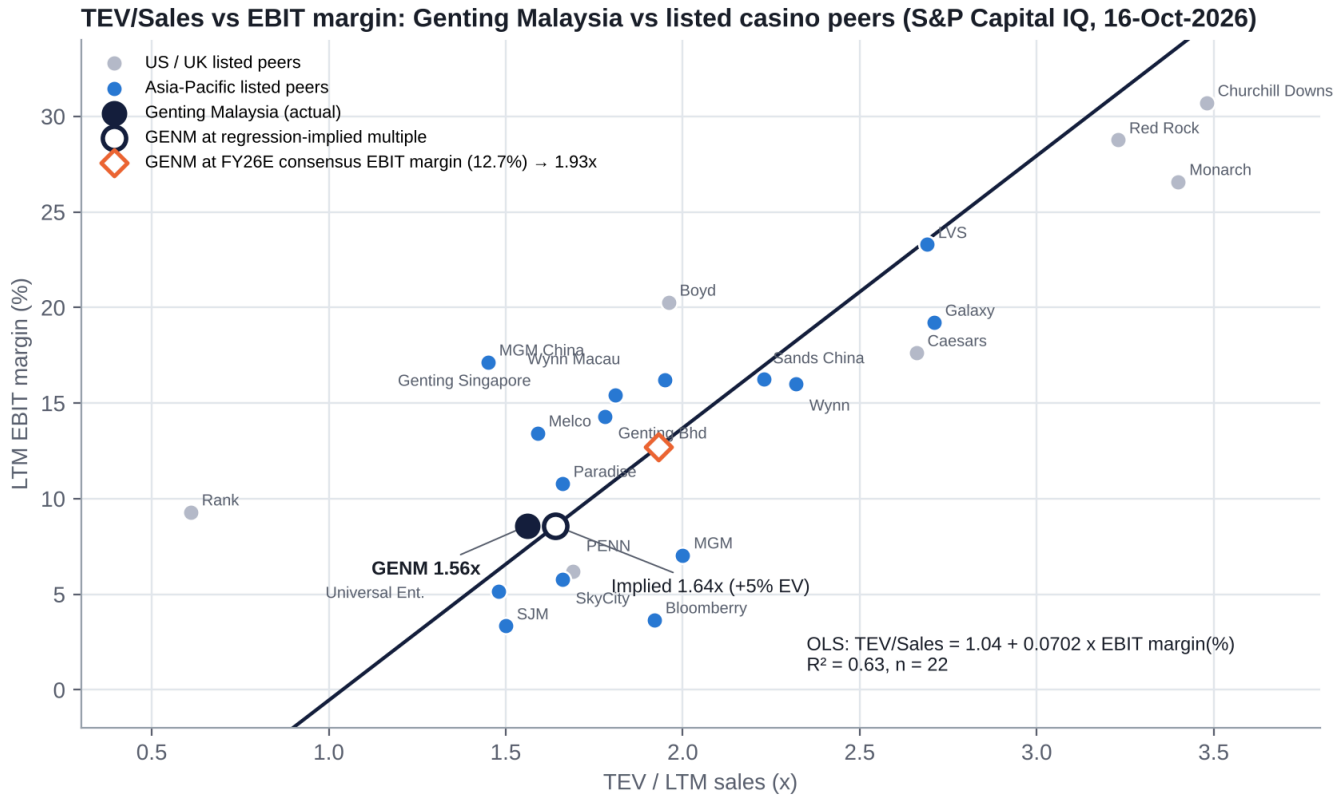
What the comparison shows

- NTM EV/EBITDA 6.6x vs 7.5x for peers: 11th percentile of its 10-year range (median 8.8x); TEV/Sales and P/B at record lows (2nd-3rd percentile)
- GENM's 10-year premium of ~2.5 turns over its parent has collapsed to 0.6x (2nd percentile)
- The RM2.35 offer was 8.1x LTM EBITDA, below every land-based casino precedent (Caesars 9.1x, Golden 9.8x, Crown 11.2x)

The honest counter-read

- P/E is 14.9x NTM vs 10.1x for peers, and TEV/EBIT 18.2x vs 12.8x: D&A, interest and tax absorb the EBITDA
- Net debt/EBITDA of 5.6x (CIQ) vs 4.3x for peers. Because EV fell only ~10% since the offer while debt rose RM3.8bn, the "−46% vs offer" overstates the de-rating
- Our FY26-28E EPS is 27-42% below consensus (interest, tax, stale broker net debt)

Regression: fairly priced on today's margins - the upside is margin recovery as New York ramps

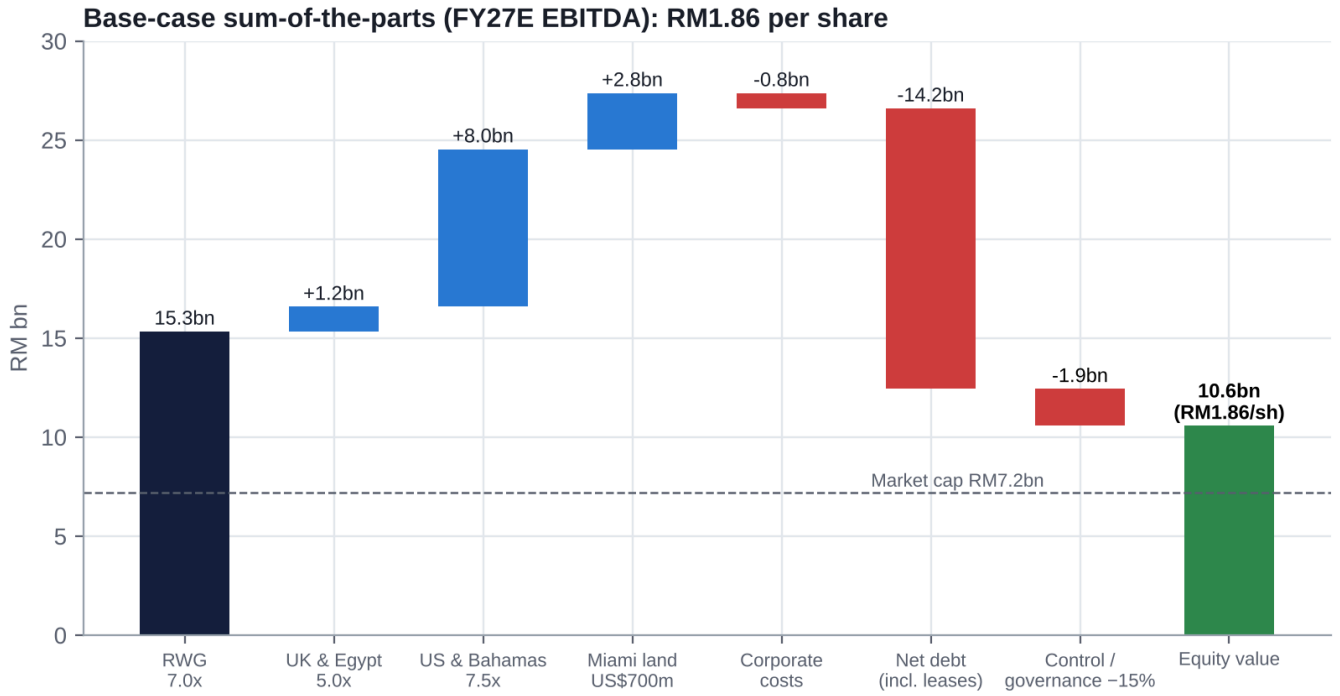


OLS: TEV/Sales = 1.039 + 0.0702 x EBIT margin (%), R² = 0.63. EBITDA-margin cross-check R² 0.66. Source: S&P Capital IQ (16-Oct-2026), our calculations.

How to read it

- **GENM at 1.56x** TEV/Sales sits just below the line: OLS implies **1.64x** at its 8.6% LTM EBIT margin (+5% EV; RM1.29-1.46 a share)
- Slope 0.070x per point of EBIT margin: each 1pp of margin is worth ~RM0.9bn of EV (~RM0.16 a share)
- R² 0.63, t = 5.9 (n = 22 core peers; net-cash, negative-EBIT, micro-cap and double-count names excluded). Full sample R² 0.20
- At the FY26E consensus EBIT margin of 12.7%, the line implies 1.93x, i.e. **RM1.96-2.13 a share** (+54% to +67%)
- With net debt ~2x market cap, small EV gaps become large equity moves. Our base case does not rely on the regression

Sum-of-the-parts: RM1.86 per share in the base case, after a 15% control and governance discount



Base-case SOTP (RM m)

Component	Method	RM m
RWG / Malaysia	7.0x FY27E EBITDA (2,190)	15,330
UK & Egypt	5.0x FY27E EBITDA (250)	1,250
US & Bahamas	7.5x FY27E EBITDA (1,060; US$262m)	7,950
Miami land	US$700m (2023 bid US$1.225bn)	2,835
Corporate costs	7x (110)	(770)
Net debt incl. leases	Jun-26	(14,166)
Control / governance	−15% of equity	(1,864)
Equity / per share	**5,667.7m shares**	**10,565 / RM1.86**

- Implied 7.8x FY27E EV/EBITDA before the discount: below the 9.2x deal median and GENM's 8.8x 10-year median
- NY phase 2 (US$3.3bn) is treated as NPV-neutral; racing support is partially charged (~US$40m a year)
- Each 1x on group EBITDA = ~RM0.60 a share; leverage cuts both ways

NYC's only full casino until ~2030, running ~US$1.6bn of annualised GGR - valued at ~2.6x EBITDA

242 / ~3,900

Live tables / slots at RWNYC after the Jul-26 expansion; masterplan 800 tables, ~6,000 slots, 2,000 rooms

US$30.8m

Weekly GGR (Jul-26): slots ~US$20-22m, tables ~US$10-11m. More than the four upstate casinos combined

56% → 72%?

Slot tax bid vs the State's view that ~US$150m a year of racing support is owed on top (live dispute)

US$3.7bn

Capex still to spend (Fitch); US$2.0bn Genting Americas secured facility signed Jun-26

~2030

Metropolitan Park (Cohen/Hard Rock) and Bally's Bronx open, paying 25-30% slot tax

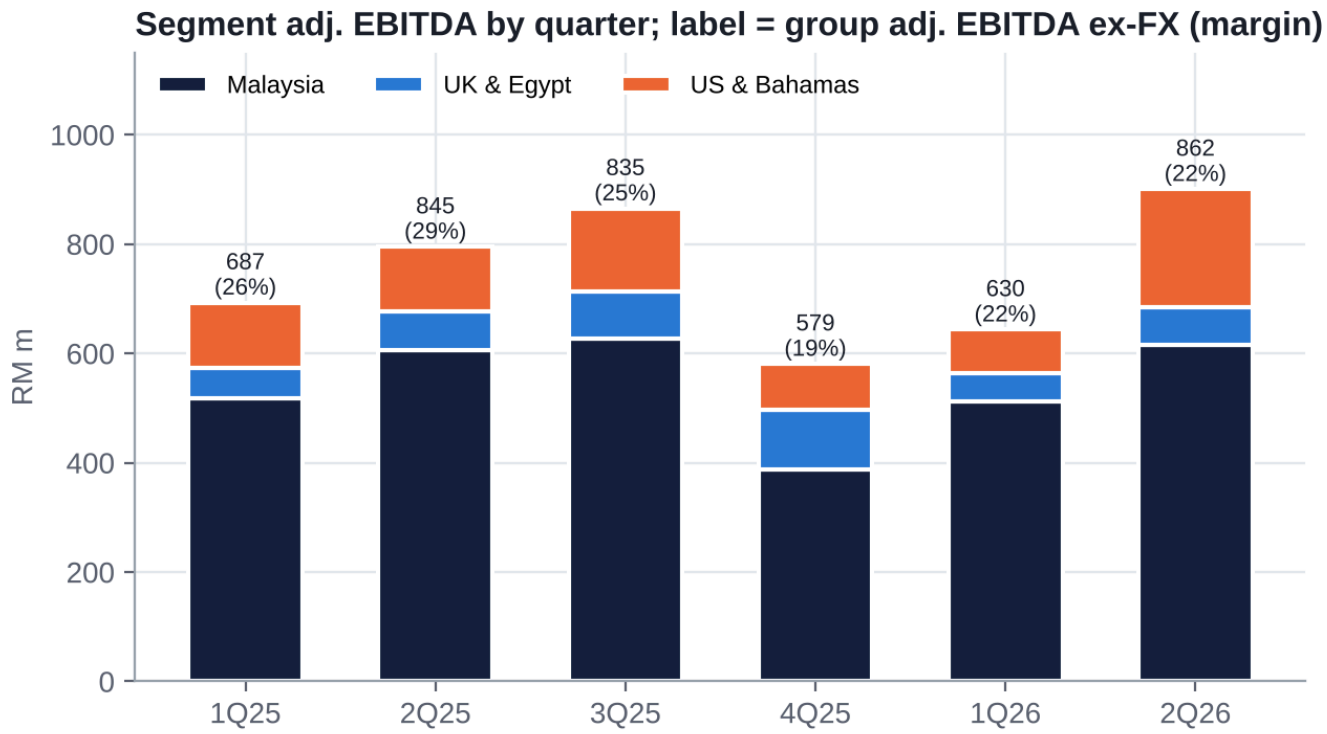
US EBITDA (FY27E) x multiple	US value (RM bn)	Equity / share*	vs RM1.27	Context
US$150m x 6.0x (racing support in full)	3.6	RM1.22	−4%	Fitch-type downside
US$200m x 7.0x	5.7	RM1.52	+20%	~Fitch 2026E level
US$262m x 7.5x (base)	**8.0**	**RM1.86**	**+47%**	**Partial racing support**
US$320m x 9.0x	11.7	RM2.42	+91%	Tax equalisation path
US$450m x 9.0x (2028)	16.4	RM3.13	+147%	Fitch NY EBITDA by 2028

*Holding the rest of the base-case SOTP constant, after a 15% discount; USD/MYR 4.05. [e]

What to watch

- **Weekly NY Gaming Commission data:** the cleanest real-time KPI on the stock
- **Racing support:** the one-year legislative fix expires in 2027; litigation is possible; GENM has threatened to drop the US$3.3bn phase 2
- **Returns:** no IRR or hurdle rate disclosed for phase 2, the key governance question
- **Monetisation:** a PropCo sale-leaseback (GLPI paid US$700m for Bally's Lincoln real estate in Feb-26) would fund the build without equity

EBITDA is inflecting with New York - but consensus EPS is 27-42% too high once interest and tax are modelled

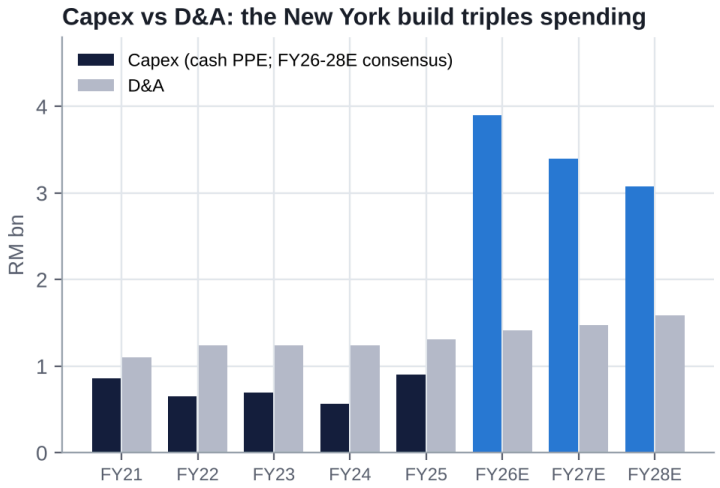


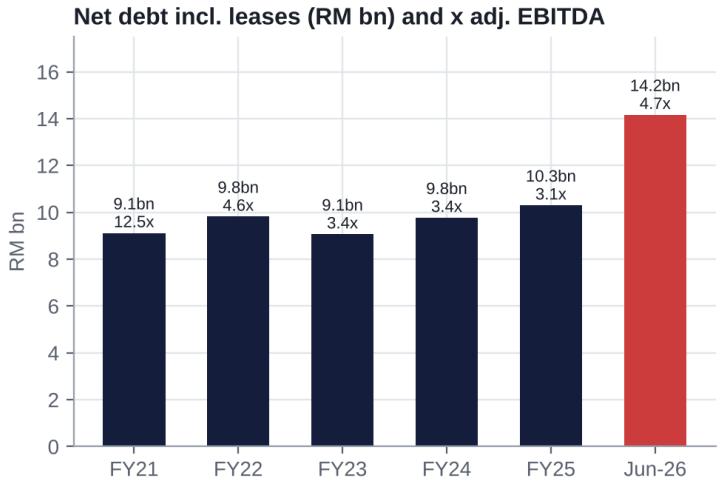
RM m	FY25A	FY26E	FY27E	FY28E
Revenue	11,884	13,720	15,200	16,300
Adj. EBITDA ex-FX	2,946	3,139	3,415	3,680
Consensus EBITDA	-	2,974	3,455	3,765
Net income	755	243	485	545
EPS (sen)	13.3	4.3	8.6	9.6
Consensus EPS (sen)	-	7.5	11.8	14.8
DPS (sen)	7.0	5.0	5.0	6.0
Net debt / EBITDA	3.5x	5.0x	4.9x	4.7x

Our estimates [e]; consensus S&P Capital IQ (Oct-2026).

- 2Q26: record revenue (+32%), ex-FX EBITDA +2% YoY / +37% QoQ, NP −89%; no interim dividend
- Drivers: US +83% (tables, 56% tax); Malaysia +1% (VIP hold, cost control); UK −2%
- Finance costs +43% YoY; brokers' FY27E interest (RM910m) and FY26E net debt (RM10.0bn vs RM14.2bn actual) look stale
- 3Q26 (~26-Nov) is the first full quarter of NY tables

The capex cycle: spending quadruples just as leverage peaks - the source of the discount and of the option





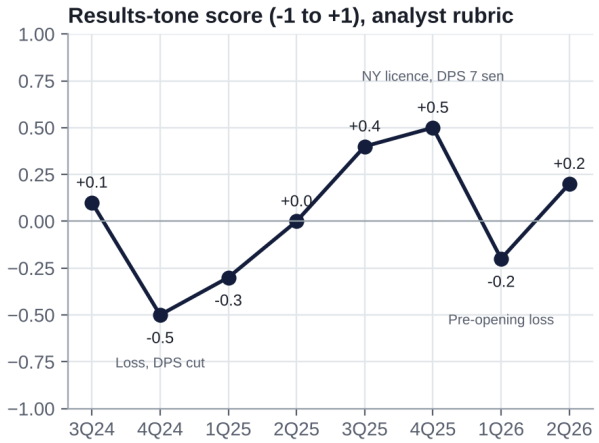
Why returns collapsed - and why they could turn

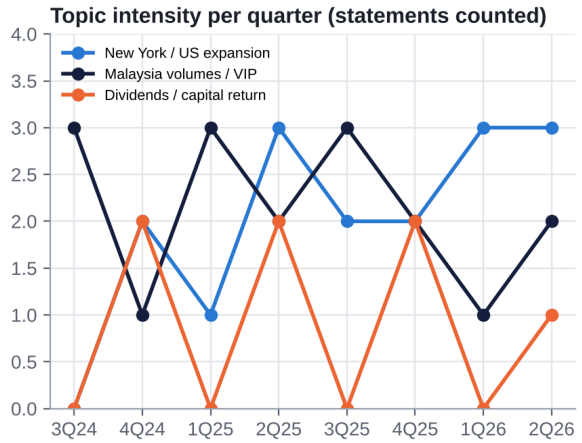
- **A decade of low returns:** ROE averaged ~1.6% and ROIC ~3.6% over FY15-25; equity fell from RM19.7bn to RM10.8bn while debt tripled
- **Debt-funded dividends:** payout 195-226% in FY23-24, largely up-streamed to the parent
- **Capex reset:** ~RM0.9bn a year historically → RM3.1-3.9bn a year FY26-28E (consensus) for RWNYC
- **The turn:** NY EBITDA ramps (Fitch ~US$450m by 2028) while capex rolls off after 2028; FCF turns positive in FY27E (consensus)

Watch

- Fitch BBB- (Sep-26) is the floor; RM1.1bn MTN due Mar-27; 2029 and 2031 bond walls
- Lease liabilities +RM0.78bn in 1H26 (Aqueduct lease remeasured)

Tone has moved from "defend Malaysia" to "build New York"; the market has stopped paying for jam tomorrow





No transcripts available (CIQ) and ProntoNLP not connected; scores built from results releases, Bursa commentary and broker coverage using a 4-part rubric (tone, capital action, vs expectations, catalysts).

What management is focused on

- NY ramp, phase 2 (hotel tower, arena) and the racing-support tax fight dominate every briefing
- Malaysia: cost control, mass-market floor, refurbishment; VIP volatility
- Funding: US$2bn facility, perpetuals, defending BBB-; dividends de-prioritised (no interims in FY25-26)

Management

- **Tan Sri Lim Kok Thay** (CEO; GENM board since 1988): built RWS, RWNYC; also Mashpee, Empire and Genting HK. Paid RM54.7m (FY25)
- **Lim Keong Hui** (Deputy CEO; third generation)
- **Lee Thiam Kit** (President since Mar-26, after Lee Choong Yan stepped down); **Loh Wai Yee** (CFO since Apr-25)
- Founder-family control; insiders' economic interest is via Genting Bhd, not GENM

No transcripts on S&P Capital IQ; ProntoNLP not connected. Scores use a disclosed four-part rubric on results releases and broker coverage, 3Q24-2Q26.

Stretched balance sheet and a parent that charges ~RM848m a year: capital allocation is the thesis

RM14.2bn

Net debt incl. leases (Jun-26), 4.9x LTM adj. EBITDA ex-FX; +RM3.8bn in 1H26 (licence fee, capex)

BBB-

Fitch (cut Sep-26); RAM AA1; parent S&P BBB-/Negative with "fallen angel" risk

~RM848m

FY25 fees to Genting Bhd/RWI (management RM498m, brand RM233m, US IP RM90m): 26% of adj. EBITDA

7 sen

FY25 DPS (from 15 sen in FY23); no interim in FY25 or FY26; buyback "commenced" Sep-26

Capital-allocation record

- **Good:** won the scarce NYC licence; fixed the payout (from 226% to ~50%); refinanced Empire's 7.75% notes early
- **Poor:** Mashpee notes (RM1.83bn impaired), Empire (~US$765m, serial related-party deals with Kien Huat, each below the 5% vote threshold), Bimini, Fox World, collapsed Miami sale
- **Leakage:** related-party fees ~7% of revenue; CEO pay RM54.7m; 3 of 8 directors independent
- **Returns:** ROE ~1.6% average FY15-25; equity −46% since FY16

Priorities we would push for

1. Sell the Miami land and run a RWNYC PropCo sale-leaseback to fund phase 2 without equity
2. Independent benchmarking of the management, know-how and brand fees; minority vote on the RRPT mandate
3. Publish NY phase-2 IRR and hurdle; tie pay to ROIC/TSR
4. Exit or close Empire upstate assets and Bimini; ring-fence UK

Not a proxy fight - a blocking stake: minorities hold the veto on delisting and on related-party mandates

73.84%

Genting Bhd (Mar-26), 1.16pp (~66m shares, ~RM84m) below the 75% level that reopens delisting

~26.2%

Free float; EPF, KWAP and PNB gone; largest outside holder UBS (1.0%), then Vanguard, Dimensional, iShares, Norges

~10%

Objection level that typically defeats a delisting resolution [u]: ~567m shares, ~RM720m / US$178m at RM1.27

0

Activist campaigns ever at GENM; opposition has been passive (2019 Empire backlash, 2025 offer rejection)

Why activism could work here

- A quantifiable "value to unlock": fees ~RM848m a year (halving them is worth ~RM0.50 a share at 7x), Miami land, NY real estate
- Independent adviser on record that RM2.35 was "not fair and not reasonable" (SOTP RM3.48-3.77)
- Interested parties must abstain on RRPT mandates, so minorities decide the fee mandate each AGM
- No disclosed short interest; a 4-5% dividend yield supports the holding cost

Where the limits are

- A 73.84% controller makes board change impossible
- Liquidity of ~2-4m shares a day means building 10% takes months and moves the price
- Malaysian institutions rarely oppose the Lim family publicly; the float is dispersed foreign/retail
- Delisting-objection rule and post-offer creep restrictions need legal confirmation [u]

What an activist would ask for: (1) independent benchmarking and reduction of related-party fees; (2) Miami sale and a NY PropCo sale-leaseback to fund phase 2 without equity; (3) published IRR hurdles and ROIC-linked pay; (4) an independent board majority; (5) a public floor of RM2.35 for any privatisation, backed by a quiet 5-10% blocking stake.

One natural buyer, already at 73.84% - but short of cash; precedents say 9-11x, the last offer was 8.1x

Transaction	Date	EV	EV/EBITDA	Read-across
GENM minority - Genting Bhd	Oct-25	RM22.9bn	8.1x LTM	Lapsed at 73.13%; 9.8% premium
Caesars - Fertitta	May-26	US$31.7bn	9.1x	Pending; US regional + LV
Golden Ent. - VICI / Sartini	Nov-25	US$1.2bn	9.8x	OpCo/PropCo split
SkyCity - Oaktree	Aug-26	NZ$1.5bn	~10.8x [e]	Cancelled; single-market casino
Crown Resorts - Blackstone	Feb-22	A$9.8bn	11.2x (FY19)	IR take-private
Cirsa - Lottomatica	Sep-26	€4.7bn	7.1x	Diversified gaming
OPAP - Allwyn	Oct-25	€6.6bn	8.4x	Lottery/betting

Median 9.2x (n=10). Bally's Lincoln real estate → GLPI US$700m (Feb-26) is the PropCo precedent. Source: S&P Capital IQ Transactions.

Takeout value grid (TEV / FY26E consensus EBITDA of RM2,974m)

TEV / EBITDA	7.0x	8.0x	9.0x	9.2x	10.0x	11.0x
Value per share (RM)	1.17	1.70	2.22	2.33	2.75	3.27
Premium to RM1.27	−8%	+34%	+75%	+83%	+116%	+158%

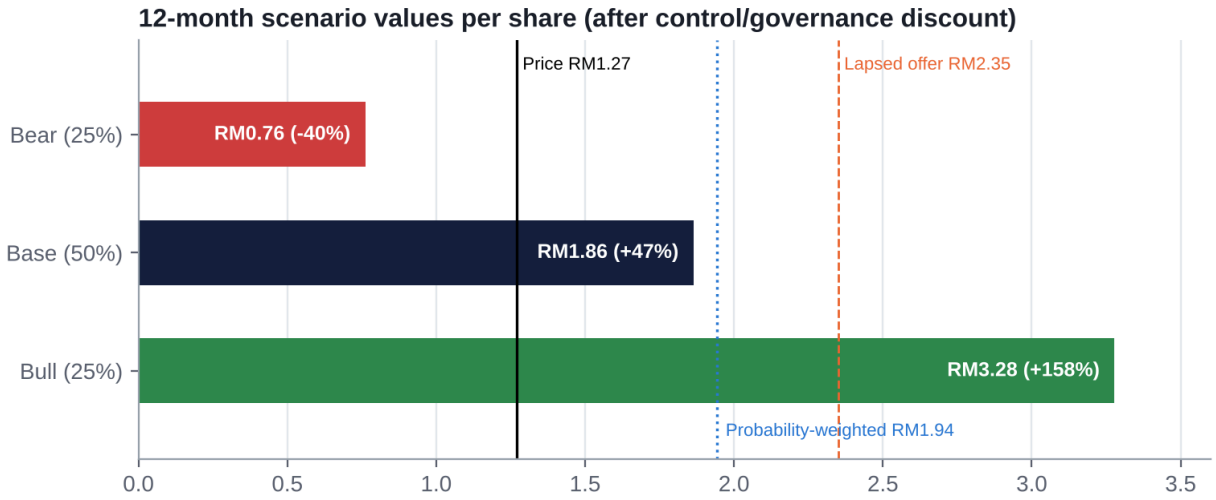
Equity = multiple x FY26E EBITDA − net debt incl. leases (RM14,166m, Jun-26); 5,667.7m shares.

What a control price would look like

- RM2.35 today = 9.2x FY26E EBITDA (it was 8.1x LTM when offered, before RM3.8bn of new debt)
- Our realistic takeout range: 8.5-10x = **RM1.96-2.75**; the independent adviser's RM3.48-3.77 = 11.4-11.9x
- **Impediments:** parent rights issue to repay debt; S&P negative outlook; CreditSights expects no debt-funded GENM buying for 12-18 months; Kien Huat dilution in a share swap
- **Most likely sequence:** (1) parent rights done (1Q27); (2) creep past 75% (2027); (3) delisting with exit offer once NY earnings are visible (2027-28); or asset-level deals first
- Third-party bid: effectively impossible without the Lim family

Asymmetric but fat-tailed: −40% bear vs +158% bull; probability-weighted RM1.94

	Bear (25%)	Base (50%)	Bull (25%)
Malaysia FY27E EBITDA / multiple	RM2,100m / 6.0x	RM2,190m / 7.0x	RM2,300m / 8.0x
US & Bahamas FY27E EBITDA / multiple	US$198m (racing support in full) / 6.5x	US$262m (partial) / 7.5x	US$321m (tax equalisation) / 9.0x
UK & Egypt / Miami land	4.0x / US$500m	5.0x / US$700m	5.5x / US$1.0bn
NY phase-2 NPV; discount	−RM1.0bn; 10%	Neutral; 15%	Neutral; 10%
Implied EV / FY27E EBITDA	5.6x	7.8x	10.2x (8.2x ex-Miami)
Per share	**RM0.76 (−40%)**	**RM1.86 (+47%)**	**RM3.28 (+158%)**



Downside support: the Malaysian monopoly (~RM2.1bn EBITDA), a 4-5% dividend, 0.64x book, and the RM2.35 anchor for any future privatisation. Even the bear case values RWG at 6x. **Upside driver:** the market putting any value on New York and the minority's veto over a cheap delisting. Probability-weighted value ~RM1.94 (+53%), ~57% expected total return with dividends.

UK Budget, 3Q26, the end of the post-offer window and Albany's racing-support decision dominate the next two quarters

28-OCT-26	**UK Autumn Budget**	Machine games duty doubling would make 13 of 32 UK casinos unviable; impairments	MEDIUM
WEEKLY	**NY Gaming Commission RWNYC GGR**	Real-time ramp test (~US$30.8m a week in Jul-26)	HIGH
MID-NOV-26	**MSCI review**	Small-cap deletion or weight cut risk at a 26% float	MEDIUM
~26-NOV-26 [E]	**3Q26 results**	First full quarter of NY tables; US EBITDA run-rate; dividend signal	HIGH
~1-DEC-26 [U]	**12 months since the offer lapsed**	Genting Bhd free to resume buying; 75% reopens a delisting route	HIGH
4Q26-1Q27	**Genting Bhd rights issue**	EGM, books close, completion; parent overhang removed or confirmed	HIGH
JAN-JUN 2027	**NY legislative session**	Racing-support fix expires; tax equalisation debate (~US$150m a year swing)	CRITICAL
~25-FEB-27	**FY26 results and final dividend**	Consensus 7.3 sen vs our 5 sen; capex and funding guidance	HIGH
31-MAR-27	**RM1.1bn MTN maturity**	First refinancing test at BBB-	MEDIUM
JUN-27	**AGM: RRPT and buyback mandates**	Minority vote on related-party fee mandate; minimum wage to RM2,000	MEDIUM
ANY TIME	**Miami sale / NY PropCo sale-leaseback / privatisation**	Value crystallisation and deleveraging	CRITICAL

What would make this thesis wrong

01 NY tax and competition

Racing support enforced on top of 56% (effective ~72%; >US$500m over four years); rivals open ~2030 at 25-30% slot tax; phase 2 may never earn its cost of capital

02 Parent extraction or a low-ball squeeze-out

Cash-strapped Genting Bhd leans on fees (~RM848m a year) and dividends, or delists at a low price if the float disperses below the 10% objection threshold

03 Malaysian policy

Quarterly licence renewal; duty raised in 1998 and 2019; service tax in 2024; PAS vow to close RWG if it wins Pahang (GE16 by early 2028)

04 Funding and dilution

5x leverage through 2027; Fitch BBB-; US$3.7bn capex left; a GENM rights issue the parent could not take up would be deeply dilutive

05 Earnings quality

FX on USD debt inside adj. EBITDA; one-off gains (FY25 ~35% of NI); VIP hold swings; consensus EPS too high in our view

06 Liquidity and index flows

~26% float, ~2-4m shares a day; out of the KLCI (Dec-24) and MSCI Standard (Feb-25); a small-cap deletion risk remains

INVESTMENT COMMITTEE DECISION

Recommendation: SPECULATIVE BUY

RM1.85
12-mo target (+46%)

6.6x
NTM EV/EBITDA (10-yr median 8.8x)

~US$0.7bn
Implied value of the whole US business

RM1.94
Probability-weighted (bear RM0.76)

- Malaysia's casino monopoly (~RM2.1bn EBITDA) plus NYC's only full casino (~US$1.6bn annualised GGR), at 6.6x NTM EBITDA and 0.64x book, 46% below the lapsed RM2.35 parent offer
- The latest 17% fall came from the parent's rights issue, not GENM. The market prices the US business at roughly the licence fee
- An event-driven asset: the parent wants 100% but cannot pay a fair cash price; a >10% minority objection can block a cheap delisting, and RM2.35 is the anchor
- Main risks: the NY racing-support tax, parent extraction, Malaysian policy and 5x leverage. Hence half sizing and hard triggers

Sizing and monitoring

Event-driven, low-to-medium conviction. Build half the position now; add on a 3Q26 NY run-rate of ≥US$60m a quarter, completion of the parent's rights issue, or an asset-monetisation announcement. Consider accumulating towards a 5-10% blocking stake if the parent signals a privatisation.

Hard review triggers: racing support enforced in full with no offset; a GENM rights issue; Fitch below BBB-; Genting Bhd pledging or selling GENM shares; a privatisation proposal below RM1.80.

Track separately: UK Budget (28-Oct), 3Q26 (~26-Nov), post-offer window (~1-Dec), parent rights issue (1Q27), Albany session (1H27), FY26 DPS (Feb-27).